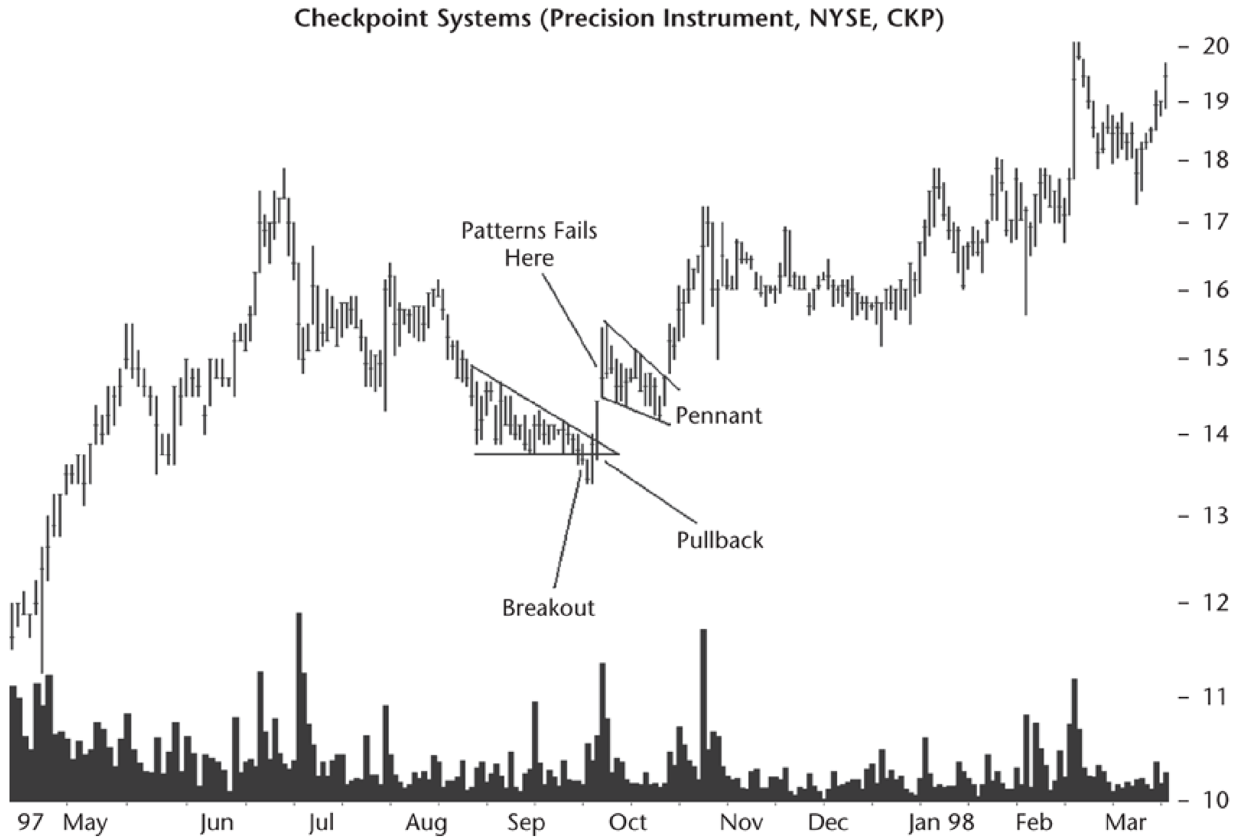

Figure 65.4 This is an example of a busted pattern. A brief downward breakout dooms this descending triangle. Underlying support and a bull market helped turn the price tide from down to up.

The climb does not end there because price forms a pennant with an upward breakout. That pennant, being a half-staff pattern, suggests a climb that equals the one leading to it. In this example, the rise after the pennant is larger than the one preceding it.

What went wrong with this triangle? The price trend leads downward into the pattern, and many traders would expect a downward breakout, but the triangle forms in the midst of a bull market.

In a rising general market (that is, the S&P 500 index is moving up), a downward breakout is always a red flag. In fact, the S&P was on a straight uphill run leading into August and then the trend reversed.

For about 2 weeks, price declined in the index and formed a bottom, then a higher bottom, and then a third higher low. The three rising valleys signaled a trend change from down to up, and the rising tide doomed the downward breakout from the triangle in the stock.